

BANKS

# TRADING SYSTEM

## THE PLAYBOOK

A repeatable framework for reading control, levels, trend, setups, momentum, and trade quality.

### THE CORE IDEA

Scanner finds it. Bot reads it. The playbook teaches you why it matters. You still make every trading and risk decision.

PLAYBOOK V2 | CURRENT SOFTWARE GUIDE | EDUCATIONAL USE

# How to Use This Playbook

This is not a list of magic entries. It is the operating manual for reading the BANKS framework in the same order every time.

## IMPORTANT

BANKS Bot, BANKS Scanner, and this playbook are educational chart-analysis tools. No indicator, setup, score, alert, example, or historical result guarantees an entry, exit, profit, or protection from loss. You choose whether to trade, position size, risk, stops, targets, instruments, and execution.

## The rule that keeps the system simple

**Never trade from one row, one indicator, or one candle.**

BANKS is designed to reduce second-guessing by forcing the same sequence every time. The sequence matters more than any individual signal.

1. CONTROL - Who currently controls the 8/21 structure?
2. LEVEL - Where is price relative to a level that actually matters?
3. TREND - Is price moving directionally or chopping?
4. **SETUP - Is there a fresh retest/hold, a setup still waiting for confirmation, or no active setup?**
5. MOMENTUM - Is there enough follow-through to support the idea?

## THE BANKS SEQUENCE

CONTROL > LEVEL > TREND > SETUP > MOMENTUM

## What the software does - and what you do

| BANKS                                        | YOU                                         |
|----------------------------------------------|---------------------------------------------|
| Ranks charts worth reviewing                 | Choose whether the chart fits your plan     |
| Translates current chart conditions          | Choose the entry and instrument             |
| Flags trend, setup, momentum, and extension  | Choose position size and maximum risk       |
| Shows when structure is weakening or failing | Manage the trade and accept the outcome     |
| Creates a repeatable review process          | Journal, review, and improve your decisions |

# What You Will Learn

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## PART I

### Read the Market

The BANKS decision sequence, Scanner, Bot, and current live status language.

## PART II

### Trade the Setups

Break/retest, flag into 8, 8/21 reclaim/loss, key-level continuation, ORB, 21 EMA defense.

## PART III

### Filter Bad Trades

Momentum, extension, range conditions, and no-trade rules.

## PART IV

### Execute the Process

Entry framework, invalidation, management, and daily workflow.

## PART V

### Review and Improve

Journaling, post-trade review, case-study process, and cheat sheet.

## PART I

# The BANKS Decision Engine

The software is valuable because it forces evidence into a hierarchy instead of letting one green box become a trade.

## 1. CONTROL

The 8 EMA is the fast trend line. The 21 EMA is the slower defense line. BANKS uses their relationship, slope, and recent crosses to identify which side currently controls the selected timeframe.

| STATE           | PLAIN-ENGLISH READ                          |
|-----------------|---------------------------------------------|
| CROSS UP        | A bullish control shift is occurring now.   |
| BUYERS / BULL   | Buyers control the current 8/21 structure.  |
| CROSS DOWN      | A bearish control shift is occurring now.   |
| SELLERS / BEAR  | Sellers control the current 8/21 structure. |
| RANGE / RANGING | Neither side has clean directional control. |

### DO NOT CONFUSE CONTROL WITH ENTRY

Buyers controlling the 8/21 does not mean chase a long. Sellers controlling it does not mean chase a short. Control tells you the side; location and setup determine whether there is anything worth doing.

## 2. LEVEL

A trend in the middle of nowhere is weaker information than a trend interacting with an important structure. BANKS tracks automatic levels and allows custom levels on the Bot.

| LEVEL     | WHY IT MATTERS                                                                          |
|-----------|-----------------------------------------------------------------------------------------|
| PWH / PWL | Previous week high / low - broader structure and breakout/rejection areas.              |
| PDH / PDL | Previous day high / low - core intraday breakout and reclaim levels.                    |
| PMH / PML | Premarket high / low - defines the premarket range and early-session decision points.   |
| ORB H / L | Opening range high / low - early-session structure after the opening range is complete. |
| C1-C4     | User-defined major levels that matter to your own chart plan.                           |

### A LEVEL IS CONTEXT - NOT PERMISSION

Price above PDH can still be extended. Price below PDL can still be ranging. The level only matters when control, trend, setup, and momentum agree.

## 3. TREND

BANKS separates trend from momentum on purpose. A market can be directionally bullish but currently have weak follow-through. It can also have a sharp countertrend bounce inside a broader bearish structure.

- TRENDING BULL - directional bullish structure is established.
- TRENDING BEAR - directional bearish structure is established.

- RANGING - the structure is too compressed, conflicted, or choppy to treat as a clean trend.

## 4. ACTIVE SETUP

ACTIVE SETUP tells you whether a fresh retest/hold is present or whether price is still waiting for one. It is not an entry command.

| EXAMPLE STATE              | WHAT IT MEANS                                                                        |
|----------------------------|--------------------------------------------------------------------------------------|
| PDH WAIT RETEST            | Price has moved through/reclaimed PDH, but the cleaner setup still needs the retest. |
| PDH RETEST BULL            | A fresh bullish retest of PDH is active.                                             |
| PDH HELD BULL              | The bullish PDH retest held and structure remains constructive.                      |
| PDL WAIT RETEST            | Price has moved through/lost PDL, but the bearish retest still needs to occur.       |
| PDL RETEST BEAR            | A fresh bearish retest of PDL is active.                                             |
| STRUCTURE WAIT BULL / BEAR | Directional structure exists, but the confirming structure retest is still pending.  |
| NO ACTIVE SETUP            | No fresh setup is currently present. Trend alone is not an entry.                    |

## 5. MOMENTUM

| STATE    | READ                                                               |
|----------|--------------------------------------------------------------------|
| STRONG   | Sustained directional movement with stronger confirmation.         |
| GOOD     | Enough aligned follow-through to support the trend/setup.          |
| WEAK     | Directional structure may exist, but follow-through is poor.       |
| SIDEWAYS | Movement is not sufficiently directional.                          |
| N/A      | Not enough usable information for a directional momentum read yet. |

### MOMENTUM IS A FILTER

A perfect-looking level with weak or sideways momentum is often a reason to wait. BANKS is trying to keep you from confusing a chart that is moving with a chart that is actually confirming your setup.

## PART I

# How to Read the BANKS Scanner

The Scanner is discovery. It reduces chart-hopping and tells you which chart deserves to be opened first.

1. Start with the top-ranked row, not your favorite ticker.
2. Read the selected-timeframe 8/21 control.
3. Check the nearest key-level context and ORB location.
4. Check whether a retest exists or the chart is still waiting.
5. Check momentum direction and quality.
6. Read STATUS last. Then open the chart and let the Bot do the deeper confirmation.

## Scanner status + supporting reads

| SCANNER READ                        | HOW TO USE IT                                                                                           |
|-------------------------------------|---------------------------------------------------------------------------------------------------------|
| READY                               | Trend + a fresh aligned 8/21 retest + aligned momentum are confirmed. Open the chart; never auto-enter. |
| TRENDING                            | Directional structure is present, but the complete setup is not confirmed yet.                          |
| NO SETUP                            | No complete directional setup. Move on or wait instead of forcing one.                                  |
| 8 BULL / 21 BULL / 8 BEAR / 21 BEAR | The RETEST column is showing a fresh EMA retest and its direction.                                      |
| WAIT                                | The RETEST column has no fresh 8/21 retest confirmed right now.                                         |
| ORB BUILDING                        | The selected opening range is not complete yet; do not treat ORB position as finished information.      |
| ABOVE / BELOW / INSIDE              | Shows where price sits relative to the completed ORB or displayed level context.                        |

### THE BEST SCANNER IS SELECTIVE

A board with one READY and six NO SETUP rows is not broken. That is exactly what selectivity should look like.

## What READY does not mean

- It does not mean the trade will win.
- It does not replace chart review.
- It does not know your account, instrument, risk tolerance, or position size.
- It means the Scanner has confirmed trend, a fresh aligned retest, and aligned momentum strongly enough to deserve chart review.

# The BANKS Setup Framework

The setups are different expressions of the same idea: direction + location + confirmation + controlled entry.

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## THE UNIVERSAL LONG SEQUENCE

CONTROL UP -> IMPORTANT LEVEL -> BREAK/HOLD -> PULLBACK/RETEST -> MOMENTUM  
CONFIRMS -> CONTINUATION

## THE UNIVERSAL SHORT SEQUENCE

CONTROL DOWN -> IMPORTANT LEVEL -> BREAK/LOSS -> PULLBACK/RETEST -> MOMENTUM  
CONFIRMS -> CONTINUATION

## The four questions before any setup

1. Am I trading with established control or trying to predict a reversal?
2. Is price interacting with a level or structure that matters?
3. Has the move already happened, or is a controlled entry still available?
4. What specifically invalidates the setup if I am wrong?

## SETUP 01

# Break -> Hold -> Retest -> Continuation

The bread-and-butter BANKS structure. The goal is to avoid paying the worst price on the breakout candle.

## LONG VERSION

1. Price approaches an important resistance/key level with bullish control.
2. The level breaks and price proves it can hold above it.
3. Price returns toward the broken level instead of running straight away.
4. The retest holds while 8/21 structure and momentum remain constructive.
5. Continuation begins only after the market proves the level changed from resistance into support.

## SHORT VERSION

1. Price approaches an important support/key level with bearish control.
2. The level breaks and price proves it can hold below it.
3. Price returns toward the broken level.
4. The retest rejects while bearish structure and momentum remain intact.
5. Continuation confirms the level changed from support into resistance.

### BAD BEHAVIOR

Buying the biggest breakout candle because the scanner finally turned green. The setup is often the retest - not the emotional candle that created the breakout.

## BANKS checklist

- Control aligned with trade direction.
- Major level identified before entry.
- Break confirmed - not just a wick.
- Retest occurs within a reasonable distance from the level/8 EMA.
- Momentum is GOOD or STRONG in the setup direction.
- A clear structural invalidation exists.

## What kills it

- Immediate failure back through the reclaimed/lost level.
- Retest turns into repeated back-and-forth chop.
- 8/21 structure loses directional control.
- Momentum deteriorates instead of re-expanding.
- Entry requires chasing far from the level and 8 EMA.



## Bull / Bear Flag Into the 8 EMA

One of the cleanest continuation structures because it lets the fast trend catch up to price instead of forcing an extended entry.

### BULL FLAG INTO 8

- Established bullish trend.
- Price makes a directional push away from the 8 EMA.
- Pullback/consolidation is controlled rather than a full structure failure.
- Price remains above the 21 EMA.
- The 8 EMA catches up while price compresses into it.
- A fresh hold/retest provides the next continuation decision point.

### BEAR FLAG INTO 8

- Established bearish trend.
- Directional push below the 8 EMA.
- Controlled bounce/consolidation.
- Price remains below the 21 EMA.
- The 8 EMA catches down toward price.
- A rejection/retest creates the continuation decision point.

#### WHY THE PLAYBOOK TEACHES FLAG -> 8

A flag into the 8 EMA is a setup concept you learn to recognize on the chart. Current Bot V3.2 may show the relevant trend/retest/level state rather than a literal "FLAG -> 8" label.

## The difference between a flag and a reversal

| CONTINUATION PULLBACK            | POSSIBLE FAILURE                               |
|----------------------------------|------------------------------------------------|
| 8 EMA is catching up to price    | Price drives through 8 and 21 with force       |
| 21 EMA remains intact            | 21 EMA is lost/reclaimed against the trend     |
| Pullback momentum is controlled  | Countertrend momentum expands                  |
| Prior breakout level still holds | Prior structure fails                          |
| Trend remains directional        | Dashboard flips into RANGE or opposite control |

## 8/21 Reclaim or Loss

The cross gets attention. The reclaim/loss and subsequent structure tell you whether the control shift is actually being accepted.

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The weakest way to trade the 8/21 is to treat every cross as an entry. BANKS uses the cross as the start of a question: did control actually change, and did price prove it?

### BULLISH RECLAIM

- 8 EMA crosses/reclaims above 21 EMA.
- Price accepts above the moving averages instead of immediately falling back through.
- A meaningful level is reclaimed or defended.
- Pullback holds the 8/21 area.
- Momentum confirms the new direction.

### BEARISH LOSS

- 8 EMA crosses/loses below 21 EMA.
- Price accepts below the moving averages.
- Support/key level is lost or rejected.
- Bounce fails around 8/21.
- Momentum confirms lower.

### CROSS ≠ TRADE

Use the cross to identify a possible control shift. Use structure and the retest to decide whether the market actually accepted the shift.

## Key-Level Continuation

PDH, PDL, PMH, PML, ORB, and weekly levels become powerful when they align with an existing trend.

| LEVEL EVENT | BANKS INTERPRETATION                                                                      |
|-------------|-------------------------------------------------------------------------------------------|
| RECLAIM     | Price moved back above a level that had been acting as resistance/overhead structure.     |
| LOSS        | Price moved below a level that had been acting as support.                                |
| RETEST      | Price returned to test the recently broken/reclaimed level.                               |
| HELD        | The level survived the retest and remains supportive/resistive in the intended direction. |
| FAILED      | Price could not maintain the new side of the level; the thesis needs reevaluation.        |

### Best context

- The level is obvious before the move.
- 8/21 control is already aligned.
- The break is not excessively extended.
- The retest is clean rather than repeated chop.
- Momentum re-expands after the hold.

### Avoid the middle

One of the easiest ways to lower trade quality is to enter between levels with no obvious structural reason. BANKS should help you wait until price reaches a location where the trade can be defined clearly.

# Opening Range Continuation

The ORB is structure, not a timer that forces a trade at the open.

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BANKS can use a 15-minute or 30-minute opening range independently from the selected 5-minute or 15-minute scan timeframe. Until the selected opening range is complete, the ORB is still building.

1. Let the opening range form.
2. Identify control and higher-quality direction.
3. Watch whether price accepts above the ORB high or below the ORB low.
4. Avoid chasing the first vertical break.
5. Prefer a hold/retest/continuation structure when available.

## **OPENING VOLATILITY IS NOT A SETUP**

The first 5-15 minutes can produce violent movement in both directions. A completed range gives BANKS a structure to judge instead of guessing from noise.

## 21 EMA Defense / Deeper Retest

The 8 EMA is the first trend guide. The 21 EMA is the deeper defense line when a healthy trend needs more room.

A trend does not have to die because price loses the 8 EMA temporarily. The 21 EMA can act as the deeper decision area. The question is whether the trend is defending structure or transitioning into a larger failure.

| HEALTHIER DEFENSE                                    | MORE DANGEROUS                                               |
|------------------------------------------------------|--------------------------------------------------------------|
| Pullback into 21 is controlled                       | Price slices through 21 with expanding countertrend momentum |
| Major level still supports the trend                 | Major level fails at the same time                           |
| 8/21 remain directionally ordered or recover quickly | 8/21 fully reverse and stay reversed                         |
| Retest holds and momentum re-expands                 | Repeated closes through 21 without recovery                  |

### THE 21 IS NOT A FREE PASS

A deeper retest is only useful while the broader thesis still exists. If key structure and control fail together, "buying the 21" can simply become catching a reversal.

## Momentum: Direction Is Not Strength

A bullish trend with bad momentum is different from a bullish trend with active follow-through.

| CONTROL | MOMENTUM             | READ                                                              |
|---------|----------------------|-------------------------------------------------------------------|
| Bull    | Strong/Good          | Aligned continuation conditions.                                  |
| Bull    | Weak/Sideways        | Trend exists, but patience is required.                           |
| Bull    | Bearish counter-push | Opposing pressure is increasing; review the chart more carefully. |
| Bear    | Strong/Good          | Aligned bearish continuation conditions.                          |
| Bear    | Weak/Sideways        | Bear trend exists but follow-through is poor.                     |
| Bear    | Bullish counter-push | Opposing pressure is increasing; review the chart more carefully. |

### THE PURPOSE

Momentum is there to keep you from treating every directional structure as equally tradeable. A good setup should have enough energy to justify the risk of acting on it.

# The No-Chase Rule

One of BANKS most important jobs is protecting you from being right on direction and wrong on location.

## GOOD MOVE ≠ GOOD ENTRY

A strong trend can still become a bad entry if price has already run too far from the 8 EMA or the level that made the setup definable. Current BANKS tells you the trend and setup state; you still use location to avoid chasing.

| STATE                         | CORRECT RESPONSE                                                                              |
|-------------------------------|-----------------------------------------------------------------------------------------------|
| READY near structure          | Open the chart and review the defined setup. READY is a review state, not an automatic entry. |
| TRENDING but RETEST says WAIT | Wait for the market to create a fresh location.                                               |
| ACTIVE SETUP says WAIT RETEST | Let price come back to the level/structure instead of predicting the hold.                    |
| RANGING / NO SETUP            | Skip it or move to another chart.                                                             |
| The move runs without you     | Let it go. Missing a trade is cheaper than creating a bad one.                                |

### THE DISCIPLINE TEST

If a TRENDING chart keeps running without a fresh retest, that does not mean you should chase it. BANKS describes structure; you still judge whether the current location gives you a definable setup.

# When Not to Trade

The best version of BANKS should save more bad trades than it creates marginal trades.

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- RANGING - 8/21 structure keeps crossing or compressing with no directional acceptance.
  - NO ACTIVE SETUP - trend may exist, but there is no clean location or retest.
  - SIDEWAYS momentum - price is moving but not following through directionally.
  - Repeated level chop - price keeps crossing the same level in both directions.
  - Price is already too far from the 8 EMA / key structure to offer the same clean location.
  - Conflicted evidence - control, trend, setup, and momentum disagree.
  - Opening noise - ORB is still building and price has not established clean structure.
  - Late entry - the setup was good earlier, but the current location no longer offers the same structure.

## **NO SETUP IS A POSITION**

The goal is not to manufacture activity. If BANKS gives you nothing, the correct output of the process can be nothing.



# The BANKS Entry Framework

The system is designed to improve the decision before execution, not to dictate a personalized order.

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For educational purposes, think about an entry as the moment when the setup transitions from "idea" to "confirmed structure." Your actual execution, risk, instrument, and position size remain your responsibility.

1. Identify direction: control + trend.
2. Identify location: key level, 8 EMA, 21 EMA, ORB, or structure.
3. Wait for the event: break/reclaim/loss.
4. Wait for the test: retest, hold, rejection, or flag completion.
5. Confirm follow-through: momentum is aligned.
6. Define invalidation before acting.
7. Reject the trade if the entry now requires chasing.

## THE ENTRY IS OFTEN AFTER THE EXCITEMENT

The market makes the breakout obvious first. The BANKS process tries to make you wait for the quieter piece: acceptance, retest, and confirmation.

# Invalidation: Know What Makes the Setup Wrong

A setup without a clear failure condition is not a defined setup.

| SETUP                | STRUCTURAL INVALIDATION EXAMPLES                                                    |
|----------------------|-------------------------------------------------------------------------------------|
| Break + retest long  | Price loses the reclaimed level and cannot recover it.                              |
| Break + retest short | Price reclaims the lost level and accepts back above.                               |
| Bull flag -> 8       | Pullback drives through 8/21 and breaks the supporting level/structure.             |
| Bear flag -> 8       | Bounce drives through 8/21 and reclaims resistance/structure.                       |
| ORB continuation     | Price fails the accepted side of the ORB and returns inside with opposing momentum. |
| 21 EMA defense       | 21 EMA and associated key structure fail together.                                  |

## STRUCTURE, NOT HOPE

Invalidation should come from the reason the setup existed. If the reason disappears, the setup needs to be reassessed rather than defended emotionally.

## Trade Management: Follow the Thesis

BANKS can help monitor technical conditions after a setup becomes active. It cannot know your personal risk plan.

| CONDITION                      | READ                                                              |
|--------------------------------|-------------------------------------------------------------------|
| 8 EMA holding                  | Fast trend remains intact.                                        |
| Key level holding              | The structural reason for the trade remains intact.               |
| Momentum STRONG / GOOD         | Follow-through remains supportive.                                |
| Momentum turns WEAK / opposing | The move is losing quality; review the chart more closely.        |
| 8 EMA lost but 21 intact       | Trend may be entering a deeper pullback - not automatically dead. |
| 21 + key structure fail        | The original continuation thesis may be invalidated.              |
| Repeated range/chop            | The clean directional thesis is deteriorating.                    |

### DO NOT TURN THE BOT INTO A CRUTCH

BANKS should make your process more consistent. It should not train you to outsource every decision. The playbook is there so you understand why the dashboard changes.

# Daily BANKS Workflow

The same workflow every day is more valuable than constantly changing indicators.

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## Before the open

1. Review the broader market and any names already on your watchlist.
2. Load the Scanner universe you actually intend to trade.
3. Mark or confirm PDH/PDL, PMH/PML, prior-week levels, and any major custom structure.
4. Know whether the market is opening near a major level or in the middle of a range.
5. Decide what would make a ticker worth opening - before volatility begins.

## At the open

1. Let the opening structure develop.
2. Use the Scanner to rank attention instead of flipping randomly through charts.
3. Do not treat the first vertical move as mandatory.
4. Watch for control + level + trend alignment.
5. Allow ORB to complete if your setup depends on it.

## During the session

1. Open the highest-quality current candidate.
2. Read the Bot from top to bottom.
3. **If ACTIVE SETUP says WAIT RETEST, wait for the market to come back to you.**
4. **If price has already run far from the 8 EMA or the key level, do not chase it.**
5. **If READY appears, open the chart, confirm the setup is still fresh, and define invalidation before deciding.**
6. After a trade or major setup, record what happened while it is fresh.

## After the close

1. Review the best setup you took.
2. Review the best setup you missed.
3. Review the worst trade or worst temptation you had.
4. Ask whether the problem was strategy, location, execution, or discipline.
5. Save the chart/case study so your pattern recognition compounds.

# The BANKS Review Loop

The journal is where a trading system becomes a learning system.

## THE LOOP

FIND -> READ -> DECIDE -> EXECUTE -> REVIEW -> IMPROVE

The long-term goal is to connect BANKS setup data with your own execution history. Even before that system is fully automated, you can review every trade using the same fields.

| FIELD         | WHAT TO RECORD                                                 |
|---------------|----------------------------------------------------------------|
| Context       | Symbol, date, time, timeframe, market environment.             |
| BANKS read    | Control, level, trend, active setup, momentum, Scanner status. |
| Your decision | Trade / skip, long / short, why.                               |
| Execution     | Entry location relative to level and 8 EMA.                    |
| Invalidation  | What would have made the setup wrong?                          |
| Behavior      | Chased? Early? Range trade? Oversized? Followed plan?          |
| Outcome       | Result plus what happened after your exit.                     |
| Lesson        | One sentence you would want to remember next time.             |

## Score the decision, not only the P&L

| GRADE | DESCRIPTION                                                        |
|-------|--------------------------------------------------------------------|
| A     | Good setup + good location + followed plan, regardless of outcome. |
| B     | Valid idea but execution or timing could be improved.              |
| C     | Marginal setup or obvious rule violation.                          |
| F     | Trade should not have existed under your process.                  |

## A LOSING A-GRADE TRADE CAN BE BETTER THAN A WINNING F-GRADE TRADE

If you only reward P&L, luck teaches bad habits. The point of the journal is to separate process quality from one trade outcome.

# Case Study Template

Use this exact structure when adding new examples to the playbook or future course library.

## 1. MARKET CONTEXT

What was the broader market doing? Trend day, range day, gap, major event, sector momentum?

## 2. CONTROL

What did the 8/21 show before the setup?

## 3. LEVEL

Which level made the trade definable?

## 4. SETUP

What exact setup formed?

## 5. MOMENTUM

Was follow-through strong, good, weak, sideways, or weakening?

## 6. BANKS STATUS

What did Scanner/Bot show: READY, TRENDING, NO SETUP, WAIT RETEST, RETEST/HELD, etc.?

## 7. DECISION POINT

What would a disciplined trader wait for?

## 8. INVALIDATION

What would make the idea wrong?

## 9. OUTCOME

What happened after confirmation?

## 10. LESSON

What should the member recognize faster next time?

### **BUILD THE LIBRARY WITH LOSSES TOO**

A trustworthy playbook should include winning setups, clean skips, failed setups, and losses. The goal is pattern recognition - not a highlight reel.

# The One-Page BANKS Checklist

Use this before every trade until the sequence becomes automatic.

| STEP           | QUESTION                               | PASS / WAIT                                 |
|----------------|----------------------------------------|---------------------------------------------|
| 1 CONTROL      | Who controls the 8/21?                 | Buyers / Sellers / Range                    |
| 2 LEVEL        | What level makes this setup definable? | PDH/PDL, PMH/PML, ORB, PWH/PWL, custom      |
| 3 TREND        | Is price actually trending?            | Bull / Bear / Ranging                       |
| 4 SETUP        | What am I waiting for?                 | Break, retest, hold, flag -> 8, 21 defense  |
| 5 MOMENTUM     | Is follow-through aligned?             | Strong / Good / Weak / Sideways / Weakening |
| 6 LOCATION     | Am I chasing?                          | Near structure / too far from structure     |
| 7 INVALIDATION | What proves the setup wrong?           | Specific structural failure                 |
| 8 DECISION     | Does the full picture agree?           | Trade / Wait / Skip                         |

**IF YOU CANNOT ANSWER ALL EIGHT, YOU DO NOT HAVE A COMPLETE TRADE IDEA.**

BANKS is designed to make "wait" and "skip" legitimate outputs, not failures to find a trade.

**CONTROL > LEVEL > TREND > SETUP > MOMENTUM**

# BANKS State Glossary

| STATE                                 | MEANING                                                                                              |
|---------------------------------------|------------------------------------------------------------------------------------------------------|
| READY                                 | Scanner: trend + a fresh aligned retest + aligned momentum are confirmed. Open the chart for review. |
| TRENDING                              | Scanner: directional trend is confirmed, but the complete setup is not ready yet.                    |
| NO SETUP                              | Scanner: no complete directional setup worth prioritizing right now.                                 |
| 8 BULL / 21 BULL / 8 BEAR / 21 BEAR   | Scanner RETEST column: a fresh 8 or 21 EMA retest is confirmed in that direction.                    |
| WAIT                                  | Scanner RETEST column: no fresh 8/21 retest is confirmed.                                            |
| ORB BUILDING / ABOVE / BELOW / INSIDE | Scanner ORB column: range incomplete, or price location after the range is complete.                 |
| CROSS UP / CROSS DOWN                 | Bot CONTROL: a fresh 8/21 control shift is occurring.                                                |
| BUYERS / SELLERS                      | Bot CONTROL: which side currently controls the 8/21 structure.                                       |
| TRENDING BULL / TRENDING BEAR         | Bot TREND: directional trend state.                                                                  |
| [LEVEL] WAIT RETEST                   | Bot ACTIVE SETUP: price moved through a level; the retest is still pending.                          |
| [LEVEL] RETEST BULL / BEAR            | Bot ACTIVE SETUP: a fresh level retest is active in that direction.                                  |
| [LEVEL] HELD BULL / BEAR              | Bot ACTIVE SETUP: the level retest held in that direction.                                           |
| STRUCTURE WAIT BULL / BEAR            | Bot ACTIVE SETUP: directional structure exists, but a confirming retest is pending.                  |
| NO ACTIVE SETUP                       | Bot ACTIVE SETUP: no fresh setup is currently present.                                               |
| STRONG / GOOD / WEAK / SIDEWAYS       | Bot MOMENTUM: the current quality of directional follow-through.                                     |



# The BANKS Operating Principles

- 1 Trade structure, not excitement.
- 2 A cross starts the question. It does not finish it.
- 3 A level without trend is context. A trend without location can be a chase.
- 4 The retest is where the market proves acceptance.
- 5 Momentum confirms whether the move deserves attention.
- A strong move can still be a bad entry if price is too far from the level or 8 EMA.
- 7 RANGING and NO SETUP are valid answers.
- 8 Know invalidation before execution.
- 9 Judge your process separately from one trade result.
- 10 The goal is not more trades. The goal is cleaner decisions repeated for years.

## THE END GOAL

You should eventually be able to look at the chart and hear the BANKS sequence in your own head before you ever look at the dashboard. The software is there to reinforce the process - the playbook is there to teach it.

## APPENDIX A

# Use BANKS Without Guessing

This section turns the system into a screen-to-decision operating manual. The goal is simple: when the Scanner or Bot shows a state, you should immediately know what that state means and what evidence to review next.

## THE SIMPLEST WAY TO USE BANKS

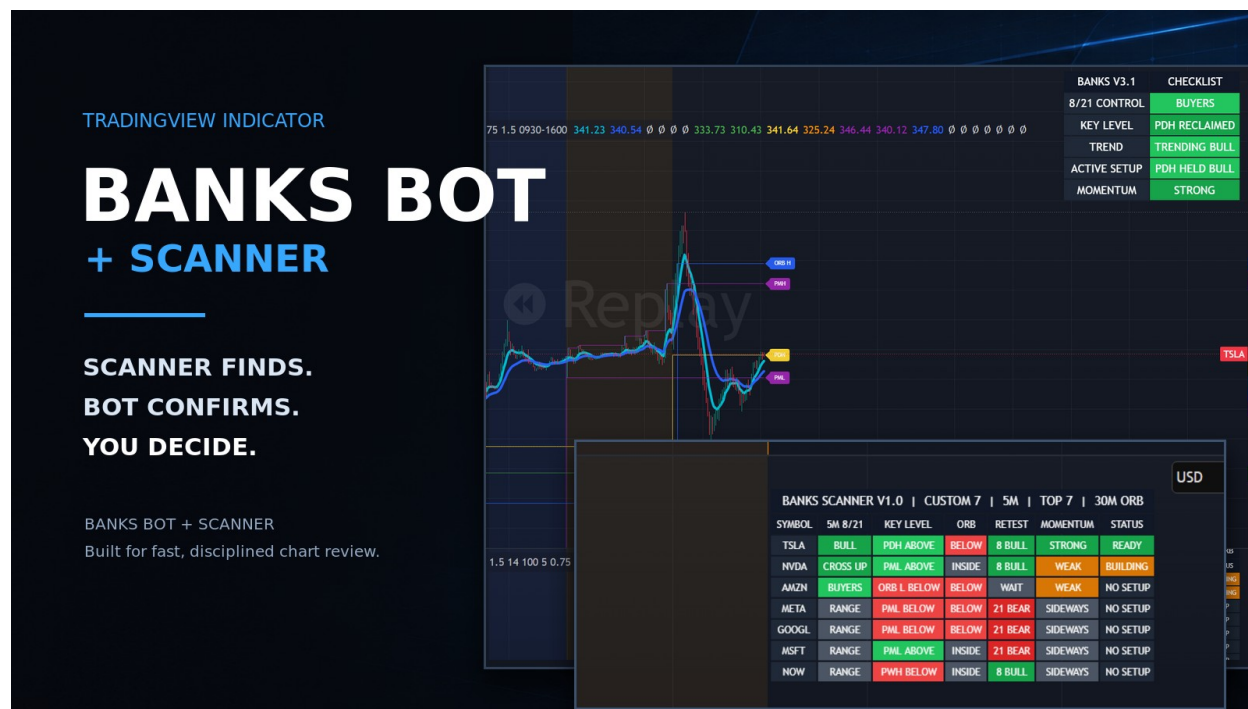
Scanner = where to look. Bot = what the chart is confirming. You = whether the setup fits your plan and how you manage risk.

## If the screen says this, do this

| WHAT YOU SEE                         | WHAT IT MEANS                                                                                    | WHAT TO REVIEW NEXT                                                                                                                  | DO NOT                                                           |
|--------------------------------------|--------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------|
| READY                                | The Scanner has confirmed trend, a fresh aligned retest, and aligned momentum.                   | Open the chart. Read Control > Level > Trend > Active Setup > Momentum. Check that location is still usable and define invalidation. | Do not enter only because STATUS is green.                       |
| TRENDING                             | Directional structure exists, but the complete setup is not confirmed.                           | Look for what is missing - usually a fresh retest, better location, or cleaner momentum.                                             | Do not turn trend direction into an entry.                       |
| NO SETUP                             | There is no complete directional setup to prioritize.                                            | Move to another chart or wait for structure to improve.                                                                              | Do not manufacture a trade.                                      |
| RETEST COLUMN = WAIT                 | No fresh 8/21 retest is confirmed on the Scanner.                                                | Let price come back toward structure and wait for a fresh 8/21 retest.                                                               | Do not predict the retest before it happens.                     |
| [LEVEL] WAIT RETEST / STRUCTURE WAIT | The Bot sees directional structure or a level event, but the confirming retest is still pending. | Wait for the level/structure interaction to occur and hold/reject.                                                                   | Do not enter simply because the break already happened.          |
| [LEVEL] RETEST / HELD BULL or BEAR   | A fresh level test is active or has held in the setup direction.                                 | Check Control, Trend, Momentum, and whether the entry location is still close to structure.                                          | Do not ignore weak momentum or a failed level.                   |
| RANGING / NO ACTIVE SETUP            | The chart does not currently have a clean directional setup.                                     | Wait or move on.                                                                                                                     | Do not use one bullish/bearish candle to override the full read. |
| WEAK / SIDEWAYS                      | Direction may exist, but follow-through is poor.                                                 | Wait for momentum to improve or for a cleaner level interaction.                                                                     | Do not use trend direction alone as confirmation.                |

# From Scanner to Chart Review

This is the exact workflow a member should follow when BANKS surfaces a candidate. The Scanner is not the entry. It is the invitation to open the chart.



## Step 1 - Let the Scanner rank attention

Start with the highest-quality current candidate instead of opening the ticker you already wanted to trade. BANKS is trying to remove ticker bias and chart-hopping.

## Step 2 - Read the Bot top to bottom

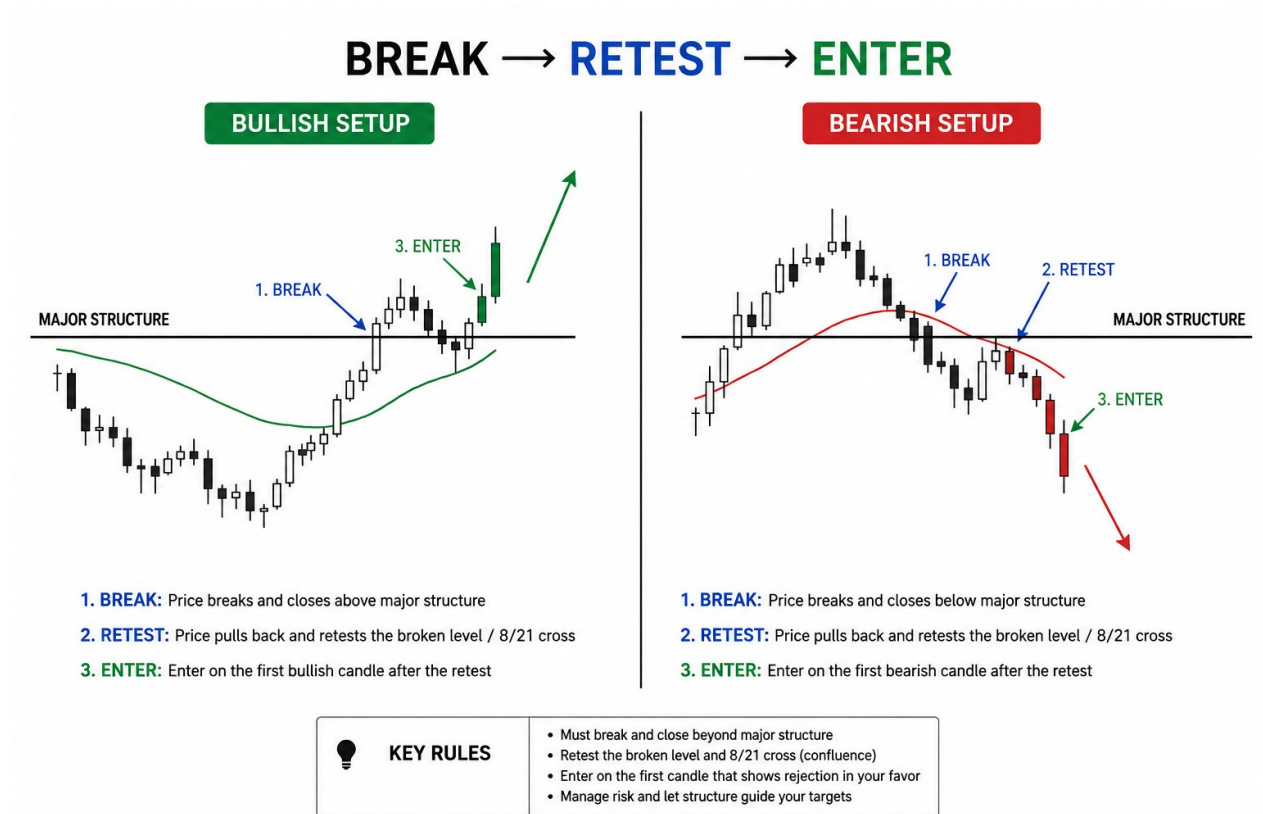
- **CONTROL:** Are buyers, sellers, or neither in control of the 8/21 structure?
- **LEVEL:** What nearby level makes the setup definable?
- **TREND:** Is price actually trending or merely moving?
- **ACTIVE SETUP:** Is a retest/hold active, or is the chart still waiting for one?
- **MOMENTUM:** Is follow-through strong enough to support the idea?

### MEMBER RULE

You never jump from SYMBOL to STATUS and ignore the middle. The five rows are the explanation for the status.

# Break -> Retest -> Confirmation

This is the clearest example of how BANKS should reduce chasing. The breakout itself is information. The retest is where the market proves whether the level actually changed roles.



## What BANKS would be checking

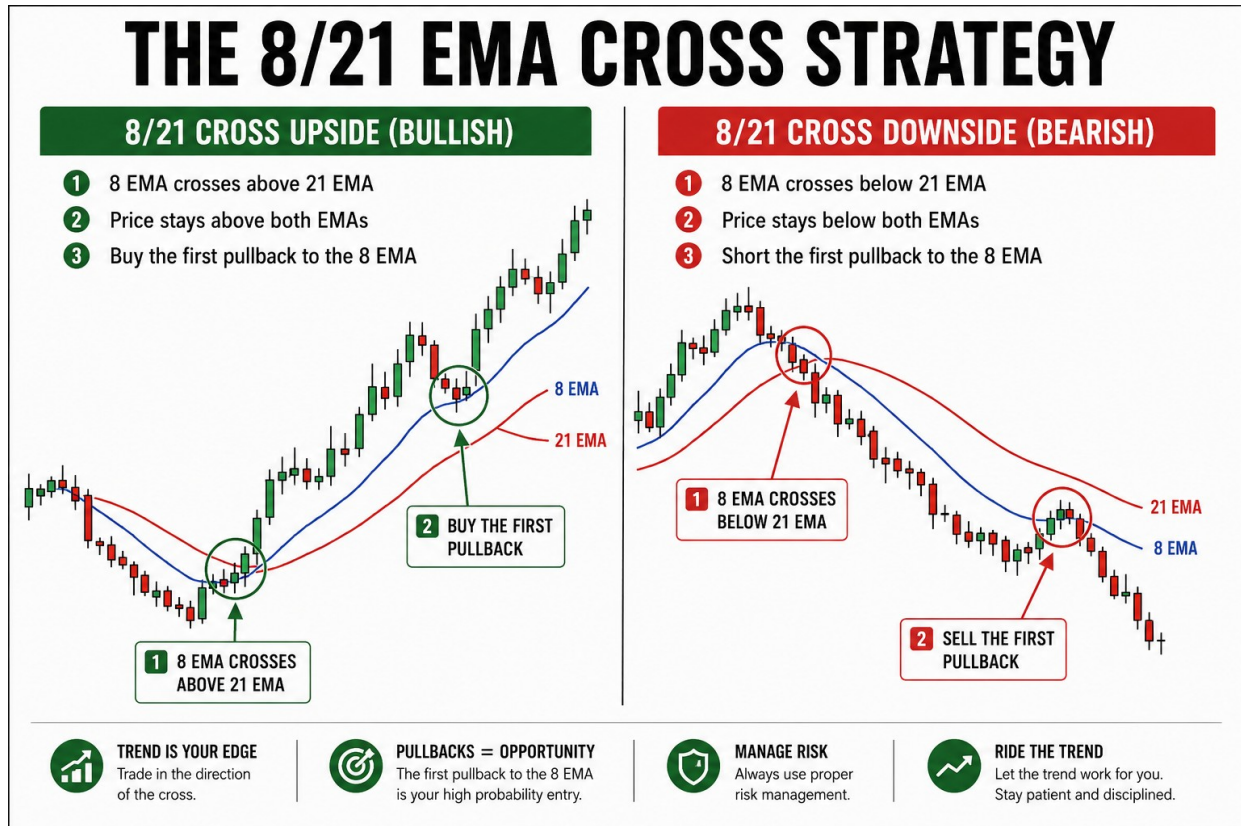
- Before the break: trend/control should already support the direction or be clearly transitioning.
- At the break: the important question is acceptance beyond structure, not one wick through it.
- During the retest: the level, 8 EMA, or structure should hold/reject in the setup direction.
- At confirmation: momentum should re-expand rather than continue deteriorating.
- If price is already far from the retest when you notice it: the setup can still be good while your location is bad.

### HOW TO READ THE BOT

**WAIT RETEST** = let price come to the level. **RETEST/HELD** = structure is being tested/confirmed. **NO ACTIVE SETUP** = nothing fresh is present. **READY** exists on the Scanner - not as permission to auto-enter.

# The 8/21 Cross Is Not the Entry

This is one of the biggest beginner mistakes the playbook needs to prevent. An 8/21 cross is a change in control. It is not automatic permission to buy or short.



## The correct sequence

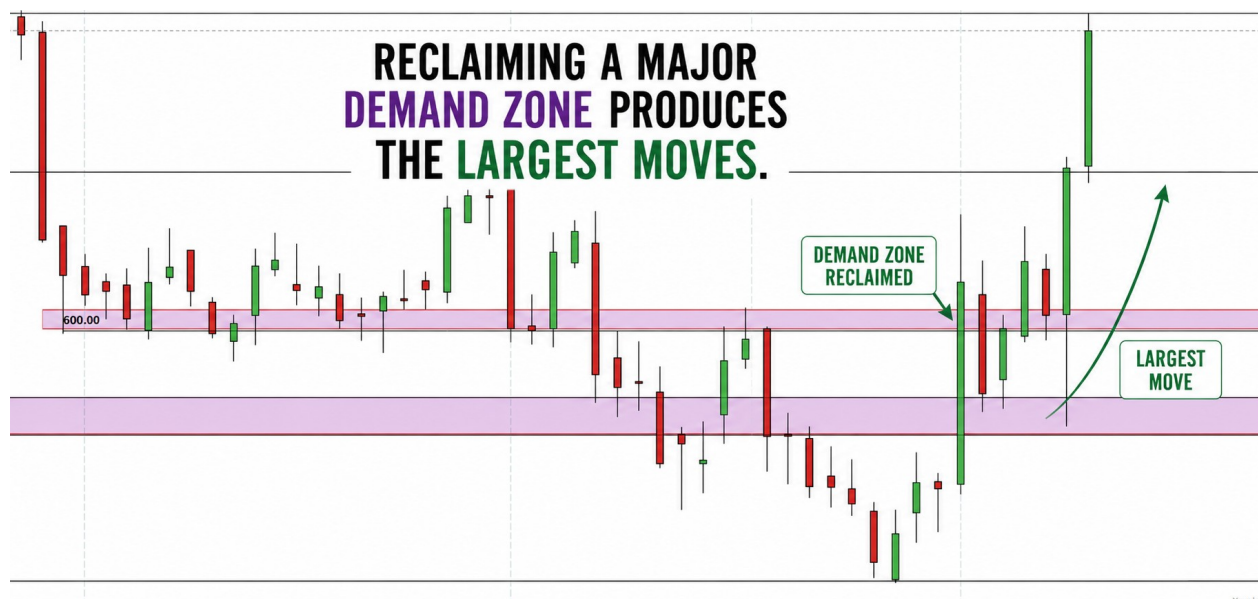
1. CROSS: Control begins to shift.
2. ACCEPTANCE: Price stays on the correct side of the 8/21 instead of immediately failing back through.
3. LOCATION: A key level, pullback, or structure gives the trade a definable area.
4. RETEST: Price comes back toward the 8 EMA / 8-21 area rather than forcing you to chase.
5. CONFIRMATION: The retest holds and momentum re-accelerates.

### THE BOT SHOULD SAVE YOU HERE

If the 8/21 cross already ran vertically, a bullish or bearish trend read is not permission to chase. Wait for price to return to a definable level, EMA, or structure.

## Major-Level Reclaim on a Real Chart

This chart shows why the LEVEL row matters. The same bullish candles mean more when they reclaim a major area that previously controlled price.



### How BANKS should frame the chart

- CONTROL: Is the 8/21 structure bullish or improving as price attacks the level?
- LEVEL: The demand zone is the reason the setup is definable.
- TREND: Is the reclaim producing higher highs/higher lows or only a temporary bounce?
- SETUP: Has price reclaimed and held the zone, or is it still fighting inside it?
- MOMENTUM: Does the move away from the zone have sustained follow-through?

#### IMPORTANT

The biggest candle is not automatically the best entry. BANKS should help the member recognize the reclaim early, then avoid chasing once price becomes extended from the level and 8 EMA.

## A Good Day to Do Nothing

A real operating manual needs losing and skipped examples, not only pretty winners. The software earns trust when it helps a member avoid a low-quality trade.

### Example screen state

| BOT ROW      | READ                                   |
|--------------|----------------------------------------|
| CONTROL      | BUYERS, but 8/21 spread is compressing |
| KEY LEVEL    | Price is sitting between PDH and PDL   |
| TREND        | RANGING                                |
| ACTIVE SETUP | NO ACTIVE SETUP                        |
| MOMENTUM     | SIDEWAYS                               |

### What the beginner usually does

They see BUYERS and talk themselves into a long because they want action.

### What BANKS is trying to teach

BUYERS is only one piece of evidence. RANGING + NO ACTIVE SETUP + SIDEWAYS momentum overrides the temptation to force the trade. The correct decision is to wait or move to another chart.

#### A SKIPPED TRADE CAN BE A PERFECT BANKS DECISION

Judge the quality of the process, not whether price happened to move afterward.



# Use the Bot Inside a Bigger Market Plan

BANKS is strongest when the intraday read is not isolated from obvious higher-timeframe structure. This market-plan example shows how levels and moving averages create context before the Scanner ever ranks an individual ticker.



## How to use this context

- **BEFORE THE OPEN** — Mark the major support/resistance zones and know whether the broader market is above or below important higher-timeframe 8/21 structure.
- **DURING THE SESSION** — Let the Scanner rank the best individual chart. Then check whether the broader market backdrop supports or fights that setup.
- **IF THE BACKDROP FIGHTS THE TRADE** — A weak setup deserves more skepticism. Require cleaner confirmation or skip it instead of forcing the idea.
- **CORE RULE** — The Bot reads the evidence on its own chart. Broader-market context is a filter — never an excuse to override a clean BANKS setup.



## QUICK START

## Your First 10 Minutes With BANKS

1. Put the Scanner on your screen and use the default 5-minute workflow while learning.
2. Let it rank the seven names. Open the top candidate.
3. Match the chart timeframe to the Scanner timeframe.
4. Read CONTROL > LEVEL > TREND > ACTIVE SETUP > MOMENTUM in that order.
5. If RANGING, NO SETUP, WEAK, or SIDEWAYS: stop. Do not force it.
6. If TRENDING but the retest column still says WAIT: identify the missing confirmation and let price come to you.
7. If ACTIVE SETUP says WAIT RETEST or NO ACTIVE SETUP: do not manufacture an entry.
8. If READY: review the actual chart, confirm the retest is still fresh, check location, and define invalidation.
9. After the setup resolves, save the chart and write one sentence about what BANKS helped you see.
10. Repeat the same process until the sequence becomes automatic.

**THE GOAL**

You should eventually be able to glance at BANKS and explain the chart in one sentence: "Bull control, PDH is the key level, trend intact, waiting for the retest, momentum good - I wait for confirmation."

## Current Screen Language

This edition is written to match the current live BANKS Scanner V1.1 and BANKS Bot V3.2 wording. Learn the logic first; software labels can evolve later without changing the sequence.

| WHERE            | WHAT YOU MAY SEE                                                                   | HOW TO THINK ABOUT IT                                             |
|------------------|------------------------------------------------------------------------------------|-------------------------------------------------------------------|
| SCANNER STATUS   | READY / TRENDING / NO SETUP                                                        | READY = open chart. TRENDING = watch. NO SETUP = move on or wait. |
| SCANNER RETEST   | 8 BULL / 21 BULL / 8 BEAR / 21 BEAR / WAIT                                         | Fresh EMA retest confirmed, or no fresh retest yet.               |
| SCANNER ORB      | BUILDING / ABOVE / BELOW / INSIDE                                                  | Do not judge ORB until the selected opening range is complete.    |
| BOT CONTROL      | CROSS UP / BUYERS / CROSS DOWN / SELLERS / RANGING                                 | Who controls the 8/21 structure right now?                        |
| BOT TREND        | TRENDING BULL / TRENDING BEAR / RANGING                                            | Directional trend or chop?                                        |
| BOT ACTIVE SETUP | WAIT RETEST / RETEST BULL-BEAR / HELD BULL-BEAR / STRUCTURE WAIT / NO ACTIVE SETUP | Is there a fresh setup, or are you still waiting?                 |
| BOT MOMENTUM     | STRONG / GOOD / WEAK / SIDEWAYS                                                    | Is there enough follow-through to support the idea?               |

**THE SIMPLE RULE: STATUS GETS YOUR ATTENTION. THE FIVE-PART READ EARNS THE DECISION.**

# The 30-Second BANKS Decision Tree

Use this until the process becomes automatic. It is intentionally simple, but every step matters.

- 1 **SCANNER STATUS**  
NO SETUP = move on. TRENDING = watch. READY = open the chart.
- 2 **CONTROL**  
If RANGING, stop. If BUYERS/SELLERS, continue in that direction only if the rest agrees.
- 3 **LEVEL**  
Name the exact level that makes the idea definable. If you cannot name it, the trade is vague.
- 4 **TREND**  
TRENDING BULL/BEAR supports direction. Trend is context - not an entry.
- 5 **ACTIVE SETUP**  
WAIT RETEST = wait. RETEST/HELD = review the confirmation. NO ACTIVE SETUP = do nothing.
- 6 **MOMENTUM**  
STRONG/GOOD supports follow-through. WEAK/SIDEWAYS means patience.
- 7 **LOCATION**  
If price already ran far from the level or 8 EMA, let it go. A good move can be a bad entry.
- 8 **INVALIDATION**  
Before execution, say exactly what price/structure would prove the idea wrong.

## The sentence test

Before you act, you should be able to explain the chart in one sentence: "Sellers control, PDL is the key level, trend is bearish, PDL retest is active, momentum is good, and a reclaim back above PDL would invalidate the idea."

KEEP THIS OPEN

## The 6 Mistakes BANKS Should Prevent

These are the mistakes that turn a good framework into bad execution. If you catch yourself doing one of them, reset to the five-part sequence.

| COMMON MISTAKE                   | CORRECTION                                                                 |
|----------------------------------|----------------------------------------------------------------------------|
| READY = buy/sell                 | READY = open the chart and review.                                         |
| 8/21 cross = entry               | Cross = control shift. Wait for acceptance + location + retest.            |
| TRENDING = chase                 | Trend tells direction. Location decides whether the setup is still usable. |
| NO SETUP = Bot is broken         | NO SETUP is the system protecting you from forcing activity.               |
| One green row is enough          | Read CONTROL > LEVEL > TREND > ACTIVE SETUP > MOMENTUM every time.         |
| I will figure out the stop later | Define structural invalidation before you choose to execute.               |

**THE GOAL IS NOT TO MAKE BANKS THINK FOR YOU. THE GOAL IS TO MAKE THE RIGHT QUESTIONS AUTOMATIC.**